and 2003. In 1998 and 1999, virtually nobody viewed the soaring market indexes as symptomatic of a short-lived "bubble" (or if they did harbor such misgivings, investors did not act on them). Above-average returns were the norm, though even a casual glance at historical business-cycle trends should have foretold that, eventually, the 1990s bull market had to recede. Still, sadly, even some of the most sophisticated investors succumbed to the fantasy: "It's different this time!" Similarly, in 2006, when the first edition of this book was published, it was inconceivable to most people that housing could be an unsafe "investment" and that a financial crisis of epic proportions was in the making. Now, in 2011, most people concede the reality of the housing and credit bubbles, the Internet stock bubble, and the subsequent meltdown in a distant memory or have forgotten altogether. In fact, chatting with most investors today, you'll get the impression that they expected the collapse of housing prices. The collapse of late 2000's prosperity was "clearly in the cards," or they comment: "Wasn't it obvious that we were in a bubble?" Giving in to hindsight bias can be very destructive because it leads investors to believe that they have better predictive powers than they actually do. Relying on these "powers" can invite poor decision making in the future.

Implications for Investors

Perhaps the hindsight bias's biggest implication for investors is that it gives investors a false sense of security when making investment decisions. This can manifest itself in excessive risk-taking behavior and place people's portfolios at risk. In the following, we review some common behaviors, rooted in hindsight bias that can cause investment mistakes.

RESEARCH REVIEW

This chapter's research review discusses hindsight bias in the context of fund manager selection. In their insightful paper entitled "On the Predictability of Stock Returns in Real Time," Michael Cooper of Purdue University, Roberto Gutierrez of Texas A&M University, and William Marcum of Wake Forest University argued that some money managers' track records are unduly criticized due to hindsight bias.[3]

The basic thrust of the argument is that money managers with long track records might be inordinately blamed for not outperforming a certain strategy that "worked" over a given time period. This happens when the researchers who are examining the track record of the fund manager are comparing the manager's track record to a strategy that has only recently been recognized as an accepted size or style strategy. For example, suppose